

Raj lives in the suburbs of Bangalore with his wife and two kids. He wakes up at 6 in the morning drops his kids at school at 8 am and then starts his job. He drives for a cab aggregator and his day ends at approximately 9 pm each night. He makes gross earnings of Rs. 8000 per week while his costs included Rs. 3000 as weekly finance charges and an additional Rs. 2000/week for fuel, maintenance and insurance. If the minimum net weekly earnings that a semi-skilled labourer is making in Bangalore is Rs. 13000, so the driver partner should be making at least Rs. 15000/month to ensure that this VS solution is sustainable for the driver. What product solution be to bring in this additional revenue.

Please detail out all the assumptions that you are making (if any) and provide a solid business case on the model that you are building. List out the pros and cons of the proposed solution.

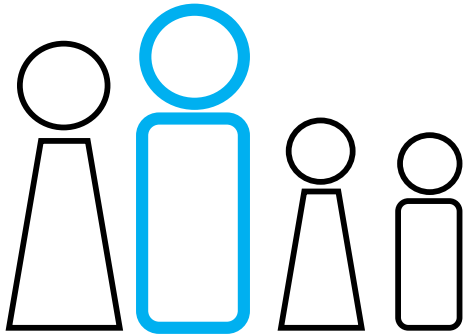
How do we make working with Uber viable for driver partners?

- What are we dealing with?
- How do we fix it?
- How do we track our progress?

What are we dealing with?

- Understanding driver partner profile & driver survey results
- Examining earning trends & driver insights
- Challenges & opportunities

Driver partner & earning profile



- Raj lives in the suburbs of Bangalore with his wife and two kids.

- Drives 6 days a week, 8AM to 9PM
- Gross earnings are INR 8000/week, with a finance cost of INR 3000 and fuel, maintenance, and insurance cost INR 2000, net weekly earnings add up to INR 3000/week
- Minimum viable earnings for Raj is INR 15000/month
- That is a deficit of INR 3000/month

After surveying 27 drivers across Bangalore, I have made the following observations

- Bangalore is a demand surplus market
- 8AM to 12PM and 4PM to 8PM are peak hours, with **26 of the 27 drivers** surveyed reported getting 4-5 rides during each of these slots
- During non-peak hours, i.e, 12PM to 4PM and 8PM to 12AM, only **12 of the 27 drivers** have gotten any rides, though specific areas like Koramangala and Indiranagar showed good amount of demand during the evening non-peak hours
- Weekends show a more evenly spread demand profile
- 70% of the rides were reported to be from UberGO, 25% from UberPOOL, and 5% from UberX

Earning trends & driver insights

After splitting the day into 6 slots of 4 hrs each, I tried to assess the utilization rates during each of these slots

	Drive Time (in hrs.)	Idle/Wait Time (in hrs.)	Earnings	Earnings/Hr
Peak (2 x 4hr slots)	3.5	0.5	1250	312.5
Non-peak (4 x 4hr slots)	1.25	2.75	400	100

6 drivers reported unsatisfactory earnings, **14 reported** sufficient earnings but feel they could do better, **7 reported** satisfactory earnings

3 drivers reported lack of confidence in knowledge of demand trends and surge pricing

6 drivers reported lack of confidence in understanding of earnings reports and means to increase their earnings

Challenges & opportunities

Three questions need to be answered in the current context to position Uber as a viable (and attractive) option for driver partners

- 1 How do we grow the earnings with **no or marginal increase** in fuel, maintenance, or insurance costs?
- 2 How do we optimize the revenue received through rides to ensure **majority of the driver partners** earn **above minimum viable earning** levels?
- 3 How do we increase earnings during **low demand periods or offline time**, and stabilize the fluctuations in earnings ?

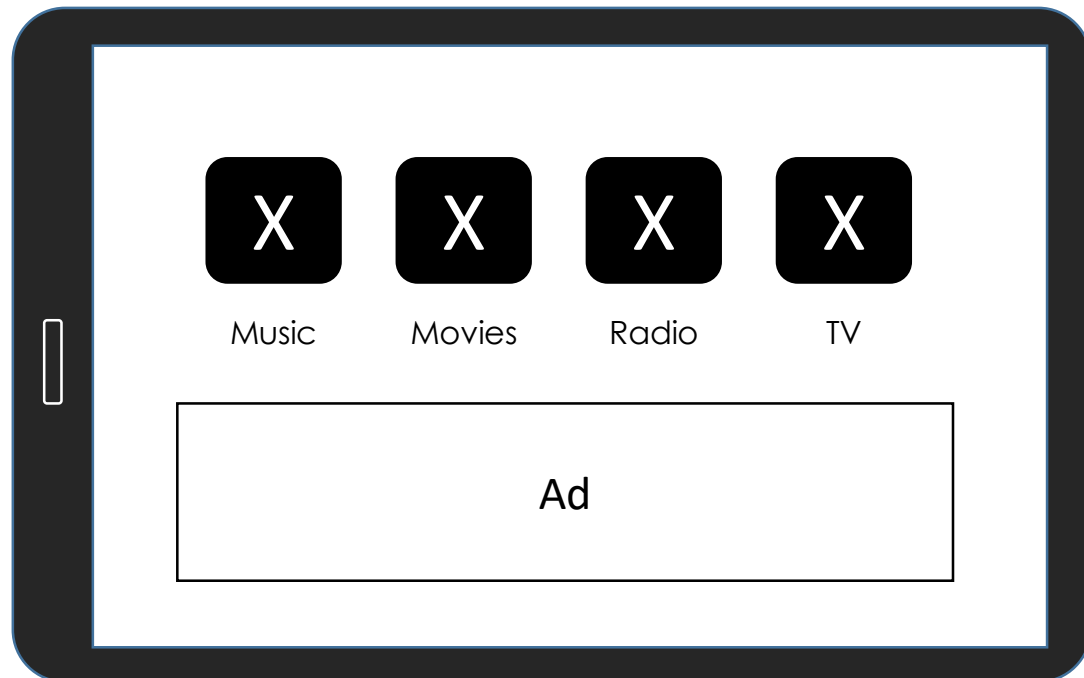
How do we fix it?

- Create additional revenue sources through marketing, and F&B sales
- Manage vehicle utilization
- Optimizing earnings through rides

Create additional revenue sources through marketing, and F&B sales

In-car entertainment & marketing

- On an average rides tend to last about 40 min, and can go up to 90 min depending on traffic and distance
- With an in-car entertainment product that can provide music, movies, TV, and radio, Uber will be able to leverage this time to generate ad revenue and if possible even run lead generation campaigns



Possible Revenue Sources

1. Ad revenue
2. Lead generation
3. Affiliate marketing

Taking into account Uber's modus operandi, creating engaging and contextual marketing campaigns that encourage users to interact and transact would work much better than display ad campaigns

Create additional revenue sources through marketing, and F&B sales

In-car entertainment & marketing

Average trips per hour	1.2
Hours per day (from case facts)	13
Total trips per day	16
Trips per month	374

- A well targeted marketing campaign can result in conversion rate of up to 7-25%, which gives a lead potential range of 30 to 90 leads per month
- Depending on value of the products, CPA can be anywhere from 2% to 10% of the product's worth. Taking average case of CPA=50, we can expect a revenue of INR 3000 per month
- Estimating an initial cost of INR 8000 (for the tablet) and monthly cost of 600, partners will be able to make a net earning of 2400 from 4th month

Lead (CPA) or affiliate marketing model	
Pros	Cons
Using user profiling targeted campaigns can be created which will lead to high conversion & healthy revenue	Revenue can vary based on the campaigns, which might create inconsistencies in payouts
No additional investment required, as campaigns are dynamically served through the device	Initial investment in a tablet device will be required from the driver partner
Co-branding opportunity with telecom service providers for free data	Additional data costs
Adds to user experience	

Create additional revenue sources through marketing, and F&B sales

F&B sales and sampling

There is an opportunity to provide basic packaged food & beverages, like water, chips, or chewing gum in Uber cabs to users.

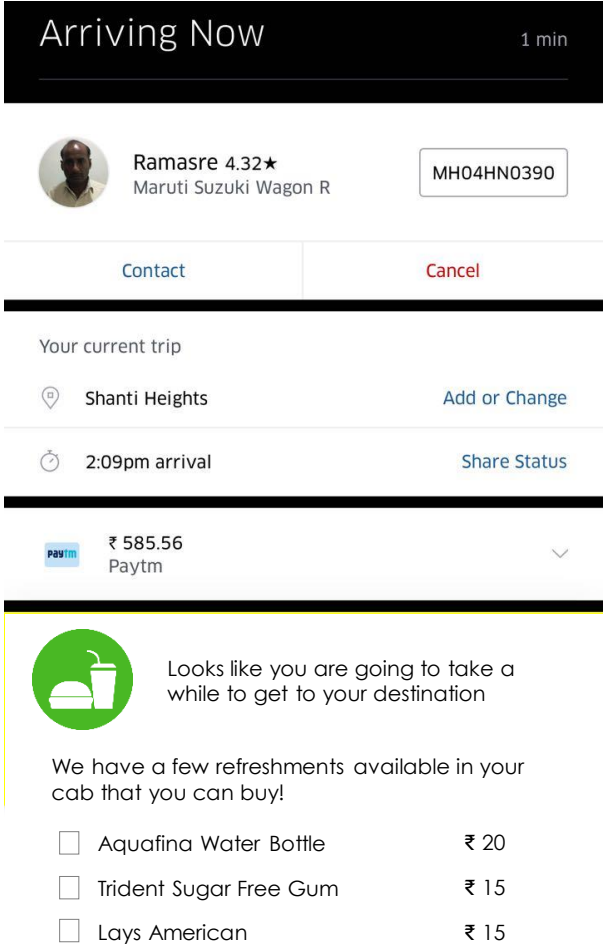
Trips per month	374
Number of trips over 40 mins	150
Number of trips under 40 mins	224
Conversion for long trips	50%
Conversion for short trips	10%
Total transactions	97.40
Avg. revenue per transaction (INR)	5
Total revenue	487

- Payments can be done via Uber user app
- Products can be centrally procured at a city level to get better pricing
- Individual inventory can be managed on Uber driver app itself
- Partners can place orders for new inventory on driver app and pick it up from a hub the next day

We also have an opportunity to run product sampling campaigns (wet and dry) to generate additional marketing revenue

Create additional revenue sources through marketing, and F&B sales

F&B sales and sampling



F&B sales and sampling

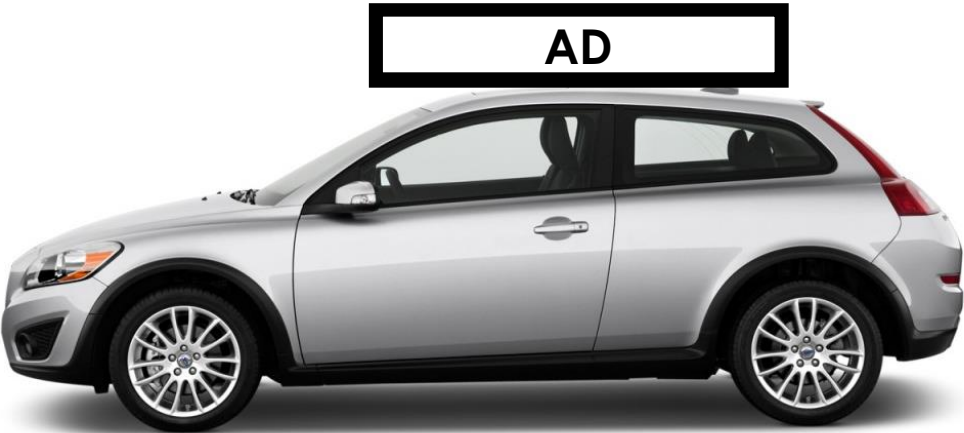
Pros	Cons
Will add to the user experience	User safety can be an issue
Transactions can happen through user app, payments through wallet	Collecting and managing inventory will be operations dependent
Very low investment required by the driver partner	Can create friction between driver and user if partners persist on selling products

Create additional revenue sources through marketing, and F&B sales

Façade advertising

Vehicles can capture up to 1.5 lakh impressions per month. Refer to estimate below

<u>Trips per month</u>	374
<u>Average distance per trip</u>	10
<u>Total distance</u>	3740
<u>Impressions per km</u>	35
<u>Impressions per month</u>	130900



Campaigns of this scale with about 100 vehicles displaying a brand campaign can cost anywhere between 5-20 lakhs

Driver partners can be paid on a revenue sharing basis.

Payout can be a combination of fixed upfront + payout per mile covered during trips

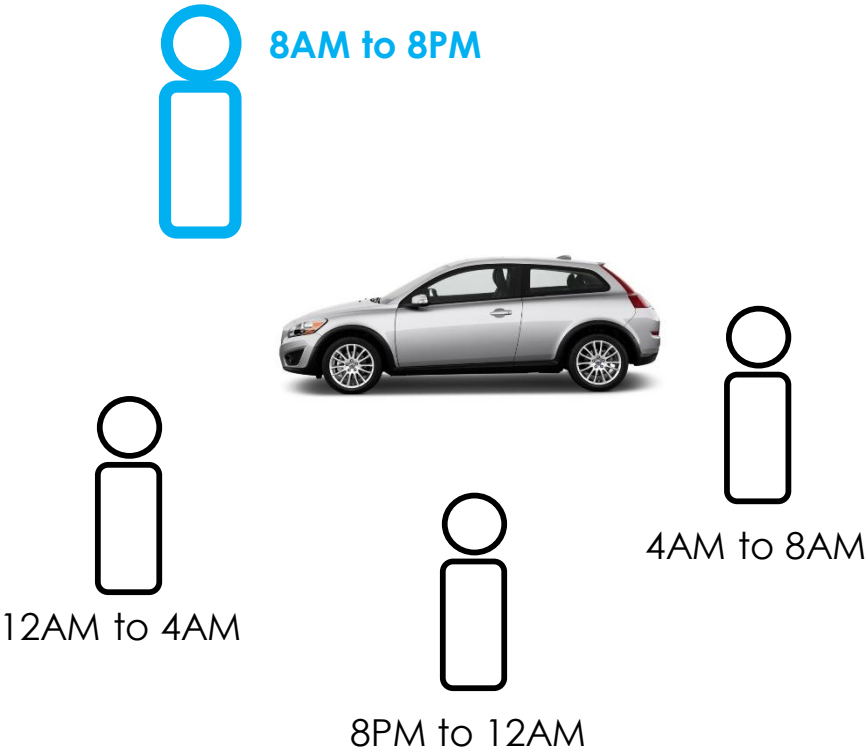
Vehicle sharing system

Of the 6 slots (4 hr) that we have surveyed, most drivers work for a maximum of 3 slots. We have an opportunity to utilize the 12 hours of down time of the vehicle and onboard more drivers to build part time supply.

In Raj's case, he drives 8AM to 9PM, for 6 days a week. This leaves a 12 hour weekday window and 24 hrs of weekend for additional utilization.

F&B sales and sampling

Pros	Cons
Increases supply in demand surplus markets	Finding willing driver buddies might be a challenge
Can be integrated into the existing driver app with minimal additional effort	Driver partner would have to take responsibility to manage schedules
Can create a strong mentorship program for part time drivers	Vehicle wear/tear and damage is a high risk



Vehicle sharing system

UberBUDDY

- Onboard new drivers (part time) to utilize cars that are not being driven during peak hours or to plug gaps in supply during non-peak late night hours
- Create mini-fleets with the car owner as the leader of the fleet
- Leaders will also be able to mentor the part time drivers
- They will receive a share of the revenue made by buddy driver partners

Additional trips per day (Weekday)	6
Additional trips per day (Weekend)	14
Average revenue per ride	200
Additional weekly revenue	10000
Additional weekly fuel costs	1500
Additional weekly earnings	8500
Additional monthly earnings	34000
Driver buddy's share of earnings	15000
Raj's share (maximum)	19000

Manage vehicle utilization

Intra-city logistics

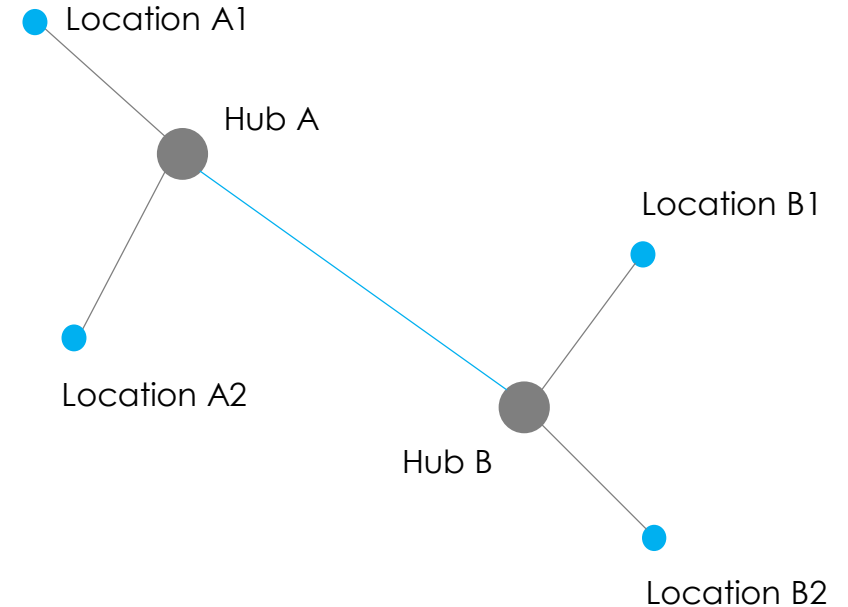
Number of trips & utilization drop drastically during mid-day slot (12PM to 4PM). Uber can explore increasing vehicle utilization by creating an intra-city logistics service that helps users send good to different parts of the city in a short duration. Larger cities like Bangalore, Mumbai, and Delhi need to prioritized.

UberSEND

- Users can transport goods within the city limits during non-peak hours safely
- Goods will be picked up from user's location by UberEATS delivery network, and dropped off at the nearest hub
- Hub to hub transport will be managed by Uber driver partners

Challenges

- Managing unit economics and competitive cost will be difficult as users might not be willing to pay
- Coordination between UberEATS and Uber's operations will require synergies that might not exist



Optimizing ride assignment

- Drivers surveyed could be broadly categorized into partners earning above, at, and below Minimum Viable Earning levels
- Currently Uber rides are assigned based on user metrics, such as, rating, wait time, etc.
- Including “deficit from weekly MVE” as a metric in the final match score can help Uber assign rides more evenly and ensure all drivers are able to maintain a sustainable partnership

Average number of trips received by 27 drivers that have been surveyed are as follows

	Number of peak trips	Number of non-peak trips	Total
Above MVE	12	5	17
At MVE	8	2	10
Below MVE	4	4	8

Optimizing earnings through rides

Improving non-peak hour demand

Following business opportunities can be explored to improve demand during non-peak hours

Hourly Hiring

- Users can be interested to hire cabs for a duration of time when multiple trips are involved. Uber can provide cabs for a duration with a limitation on the distance (Eg: 8 hr – 80km)

Transit/commute services to hotels

- Managing fleets for hotels can help Uber build scale and also consolidate demand from businesses
- Hotels will be able to book cabs for guests from “Uber for Business” application and the guest will be able to track the cab on their user app

Intercity travel

- Providing low cost, ride sharing travel options between cities can be a way to improving demand during non-peak hours

How do we track our progress?

- Key performance indicators & estimates

Key performance indicators

Following metrics can be considered KPIs for the initiatives suggested

Overall KPIs	% Drivers above MVE
	% Revenue growth per driver
In-car entertainment & marketing	% Users interacting
	Time spent on device
	% Conversion
F&B sales	% Users seeing options
	% Users transacting
Vehicle sharing	% Increase in part time drivers